

Chapter Review

2-5b Key Terms

account (An accounting form used to record the increases and decreases in each financial statement item.)

account receivable

assets

balance of the account (The amount of the difference between the debits and the credits that have been entered into an account.)

chart of accounts (A list of the accounts in the ledger.)

common stock

correcting journal entry (An entry that is prepared to correct an error to an entry that has already been journalized and posted.)

credit (Amount entered on the right side of an account.)

debit (Amount entered on the left side of an account.)

dividends ()

double-entry accounting system (A system of accounting for recording transactions, based on recording increases and decreases in accounts so that debits equal credits.)

expenses ()

four-column account (A form of account that has Debit and Credit columns for recording transactions as well as Balance (Debit and Credit) columns for indicating the account balance after each transaction.)

horizontal analysis (Financial analysis that compares an item in a current statement with the same item in prior statements in terms of the amount and percentage of change.)

journal (The initial record in which the effects of a transaction are recorded.)

journal entry (The record of a transaction entered in a journal, made up of at least one debit and one credit.)

journalizing (The process of recording a transaction in a journal.)

ledger (A group of accounts for a business.)

liabilities

normal balance of an account (The side of an account (debit or credit) in which the balance normally appears based on the type of account and whether it is increased by debits or credits.)

posting (The process of transferring the debits and credits from the journal entries to the accounts.)

prepaid expenses

retained earnings

revenues

rules of debit and credit (In the double-entry accounting system, specific rules for recording debits and credits based on the type of account.)

slide (An error in which the entire number is moved one or more spaces to the right or the left, such as writing \$542.00 as \$54.20 or \$5,420.00.)

stockholders' equity

T account (The simplest form of an account, which consists of an account title, a debit side, and a credit side.)

transposition (An error in which the order of the digits is changed, such as writing \$542 as \$452 or \$524.)

trial balance (A summary listing of the titles and balances of accounts in the ledger, which is used to verify that debits equal credits.)

two-column journal (A form of journal in which there are only two amount columns, one for debits and one for credits.)

unadjusted trial balance (A trial balance prepared at the end of an accounting period before adjusting entries are made.)

unearned revenue (The liability created by receiving revenue in advance.)